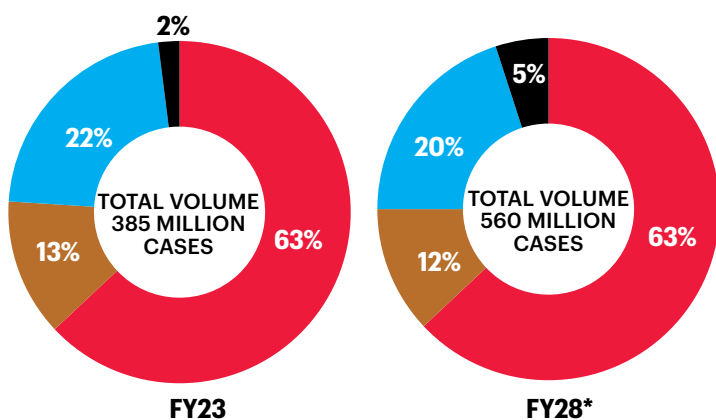


WHAT SELLS

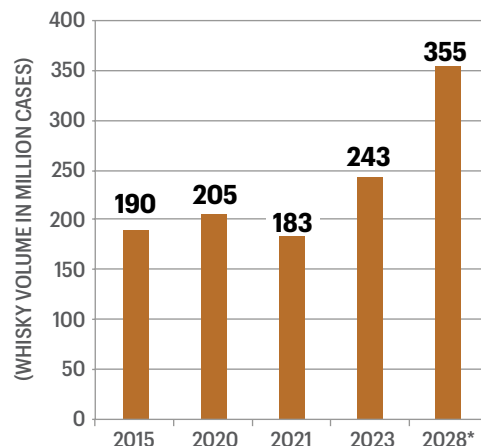
- ▶ India is still predominantly a whisky market
- ▶ White spirits are emerging, especially among the younger consumers



■ WHISKY ■ BRANDY ■ RUM ■ WHITE SPIRITS
*ESTIMATES SOURCE TECHNOLAK ANALYSIS

WHISKY TRACKER

- ▶ India is considered one of the high-growth markets for Diageo
- ▶ Whisky will continue to be its bread and butter



*ESTIMATES SOURCE TECHNOLAK ANALYSIS

sumers coming of legal drinking age in the next five years. "The market today is about brands and not products. In consumer products, people down-trade but not in our business, where they reduce the number of occasions," explains Nagarajan. The premiumisation approach has excited investors, and that comes from how the stock has performed (see graphic 'Raising a Toast').

Kundu says, "Diageo is smartly moving in the direction of the overall spirits market. The P&A segment gives its brands salience, and with the right execution, it will only make the business more profitable." Will Diageo push gin and Indian single-malt whisky? Kundu says these are small markets today but have big growth potential.

John Distilleries' John agrees that high-quality premium alcohol is still largely an untapped market, but it is challenging. "You can get it right on quality and packaging, but it all depends on how well it is distributed. First, you must convince the wholesalers, then hope the consumer accepts it," he says. India has no more than 80,000 retail outlets that sell liquor, and the battleground is right there.

The premiumisation opportunity cuts across product categories. Prateek Srivastava, Co-founder of ChapterFive Brand Solutions, points out that it allows the real value of a product category to get unlocked apart from making higher margins and an effective way to build a

brand. In the case of spirits, he speaks of how the lack of advertising is hard to counter.

"A brand can be created, but how does one market it? That's why trade marketing becomes so critical and new schemes are constantly announced." There is a certain peculiarity that exists in the overall liquor industry. "Brands like Diageo and Pernod Ricard have a certain hierarchy ladder, and the better brands draw in consumers as their incomes rise. It is similar to consumer behaviour in cars or fashion, but one does not change a cooking oil, biscuit or a shampoo brand."

For Nagarajan, it has been an interesting three years at the helm. At a time when India is being viewed as one of the few growth economies, Diageo stands to gain in a big way as more young people move up the ladder. Diageo already has a "hipster" range: premium Scotch such as Black & White in flat, small plastic bottles aimed at millennials and GenZ. The hipster, which has 180ml of blended Scotch whisky, is also an affordable taste bridge to the premium brands. Diageo figured that only a format-based innovation could create a younger, cooler image of Scotch. Hence, the hipster.

With all the pieces at her disposal, Nagarajan will now be hoping that the puzzle fits. **BT**

@krishnagopalan